

Flagpole A strong vertical move, either up or down, where price has little or no overlap for several days. Associated with flags and pennants.

Flat base A consolidation region in which price touches, or comes near to, the same price level multiple times over several weeks or months. The bottom or top of this region may appear flat and sometimes forms the base of an impending up move, hence the name, “flat base.”

Formation Synonym for chart pattern.

Frequency distribution A method to assign data to one of several non-overlapping intervals. A frequency distribution shows how often values occur. For example, if you empty your pockets and count the change, you may have three pennies and two nickels. That's a frequency distribution, a count of how many pennies and how many nickels you have.

Gap A vertical space between two price bars on the chart. For upward price trends, a gap happens when today's low price is above yesterday's high. For downward price trends, a gap occurs when today's high price is below yesterday's low.

Gap performance A measure of how well a chart pattern performs with or without a gap. Computed using the opening price the day *after* a gap to the ultimate high or ultimate low.

Handle performance The rise (or decline) to the ultimate high (or low) from handles shorter or longer than the median handle length in a cup-with-handle pattern. The handle measures from the right cup lip to the breakout.

Handle retrace For inverted cup with handles, the rise from the right cup low to the handle high as a percentage of the cup height from the right lip to the highest high in the pattern.

Hard stop A stop-loss order placed with a broker for execution. Contrast with *Mental stop*.

Heavy left/right volume performance A comparison of volume surrounding peaks or valleys using 2 days before to 2 days after the peak or valley.

Hold time loss The maximum amount of money you might lose if you sold at the worst time during a trade.